DERIVATIVES 101 · DECK 4

Discount & bonus

The European listed side of the book — where the option premium arrives as a price discount or a conditional bonus instead of a coupon.

Structured products onboarding · Development team · August 2026

WHERE WE ARE

Two families, and the line between them

12xx

Yield enhancement

Capped upside in exchange for a known return. Discount certificates, barrier discounts, reverse convertibles, BRCs.

13xx

Participation

Open-ended upside. Trackers, outperformance, bonus certificates, twin-win.

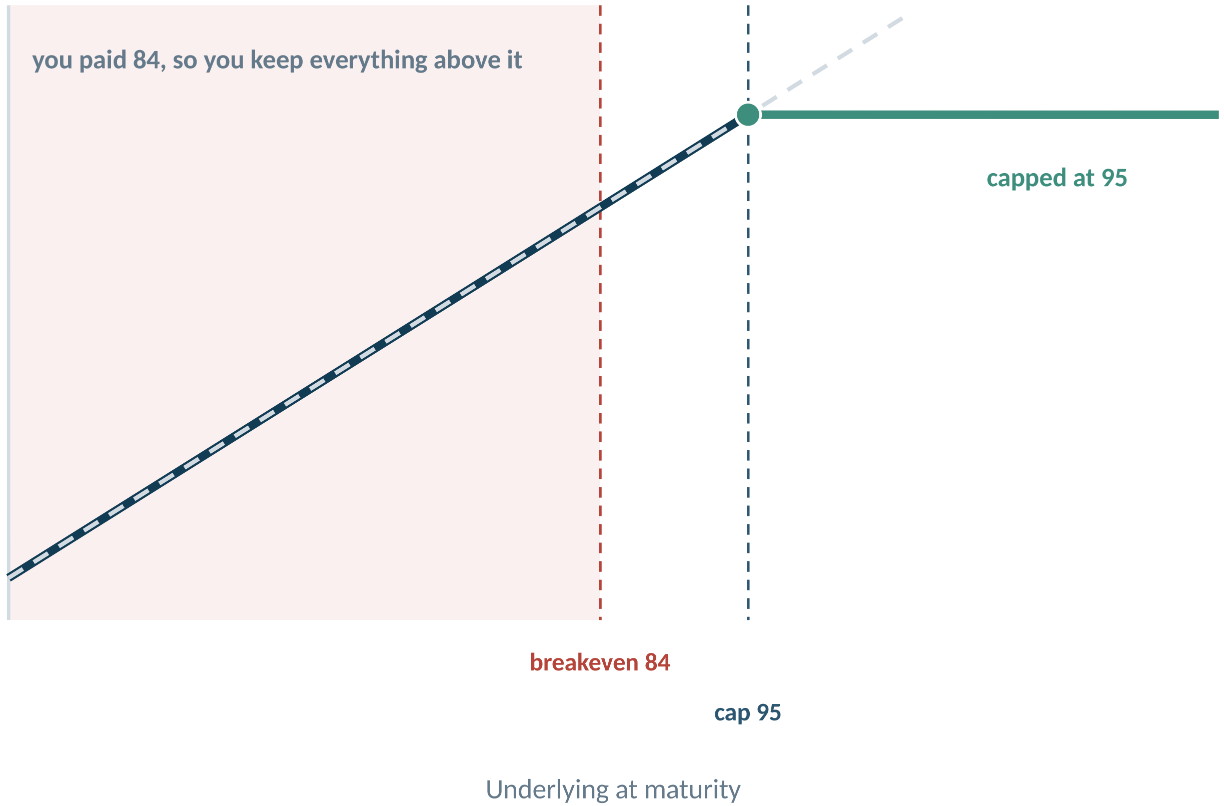
The test is not how the product is built — it is whether the upside is open-ended. A cap moves a product across the family line even though only one option leg changed.

A capped bonus certificate whose cap equals its bonus level is economically the same instrument as a barrier discount certificate. Both pay a fixed maximum if the barrier survives and both convert into the underlying if it does not. Same payoff, two names, two families.

EUSIPA codes a capped bonus as 1250, inside yield enhancement. The SSPA map carries no 1250 at all — in Switzerland it stays a bonus certificate at 1320. Same product, two taxonomies.

Buy the underlying cheaper, give up everything above the cap

Redemption per certificate, underlying at 100, cap 95, purchase price 84



Above the cap

Redeem at 95. You bought at 84, so the return is 13.1% — and not a penny more, however far the underlying runs.

Between 84 and 95

Redeem at the underlying's value. Still a profit, because you paid 84.

Below 84

A loss — but always 16 points better than owning the share outright.

The dashed line is a direct holding in the share. The certificate beats it everywhere except a rally through the cap — which is exactly the trade being made.

WHAT IT REALLY IS

One instrument, two equally correct descriptions

The covered-call form

Zero-strike call on the underlying + short call struck at the cap

This is how the German and Swiss listed market describes it. The zero-strike call is used rather than the share itself because the investor does not receive dividends — and those forgone dividends are a large part of what funds the discount.

The bond-plus-put form

Zero-coupon bond redeeming at the cap + short put struck at the cap

This is the SSPA formulation, and the one that matters for us: it makes the identity with a reverse convertible immediate.

Put–call parity, nothing more. Do not let anyone leave thinking these are two different risks.

THE COMPARISON THAT MATTERS

A discount certificate is a reverse convertible paid up front

	Discount certificate	Reverse convertible
How the premium reaches the client	As a price discount, on day one	As a coupon, spread over the life
Purchase price	Below spot	Around par
Coupon	None	Yes
Upside limit	The cap, which is also the option strike	Par plus coupon
Downside trigger	No barrier — exposure starts immediately below the cap	Below the strike, or below the barrier for a BRC
Cushion	Small and certain — the discount	Large and conditional — the barrier
Max redemption	The cap amount	Par plus coupon
EUSIPA family	Yield enhancement, 1200 / 1210	Yield enhancement, 1220 / 1230

Same strike, same maturity, same risk. Neither is the safer one.

WHAT ACTUALLY TRADES

The typical discount certificate is not a slightly capped share

22.4%

average discount

At first observation, across the German listed market

–14.3%

average distance to cap

The underlying already trades above the cap

78%

issued in the money

Started with the underlying above the cap level

332 d

average remaining term

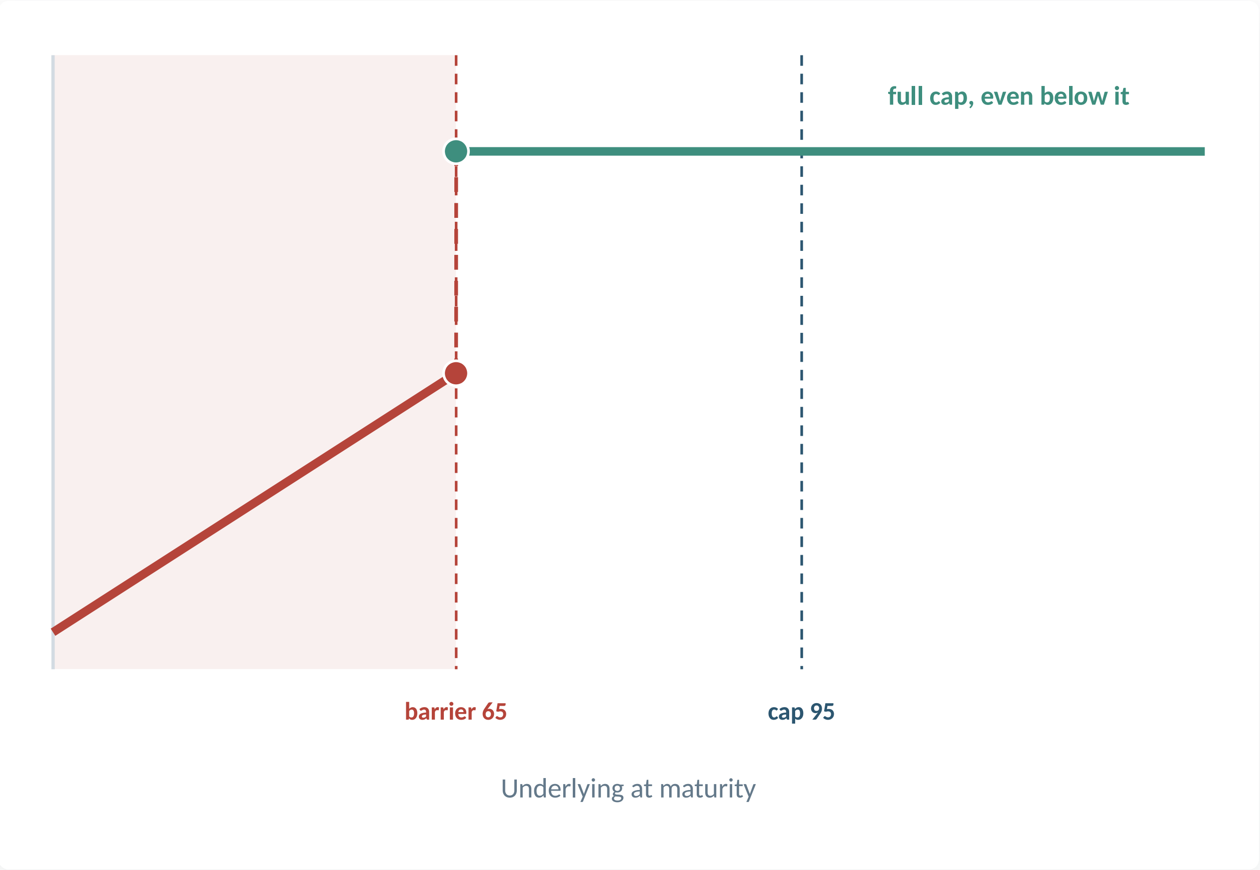
Short-dated, high turnover, frequently rolled

- **Read those four numbers together and the product changes character completely.**
- A certificate issued with the underlying already above its cap has no upside participation at all. It is bought for the buffer, not for the equity exposure.
- So the realistic outcome distribution is: collect the capped return most of the time, with an equity tail. It behaves far more like credit than like a share.
- 73% reference single stocks, 27% indices. Settlement is physical for German and most European single names, cash for indices, commodities and US, Spanish, Finnish and Swiss shares.
- Tenor runs 3 months to 5 years on paper; 6 to 24 months is where the volume is.

Figures from the German industry association's study of the listed discount certificate market. Distributions, not current quotes — check the desk's tape for live levels.

Barrier discount: a conditional cushion instead of a certain one

Cap 95, barrier 65, purchase price 88



- **If the barrier is never touched, the client gets the full cap amount — even if the underlying finishes below the cap.**
- That is a genuinely better payoff than a plain discount certificate in the middle of the range, and it is paid for with a smaller discount up front.
- If the barrier is touched, the barrier feature vanishes and it reverts to a plain discount certificate.
- Economically: zero-coupon bond plus a short down-and-in put. The same structure as a barrier reverse convertible, with the premium taken as a discount rather than a coupon.
- **Worst-of versions are standard and buy a bigger discount or a deeper barrier, at the usual price — the client is short dispersion.**

THE FX VERSION

A dual currency deposit, wrapped as a security

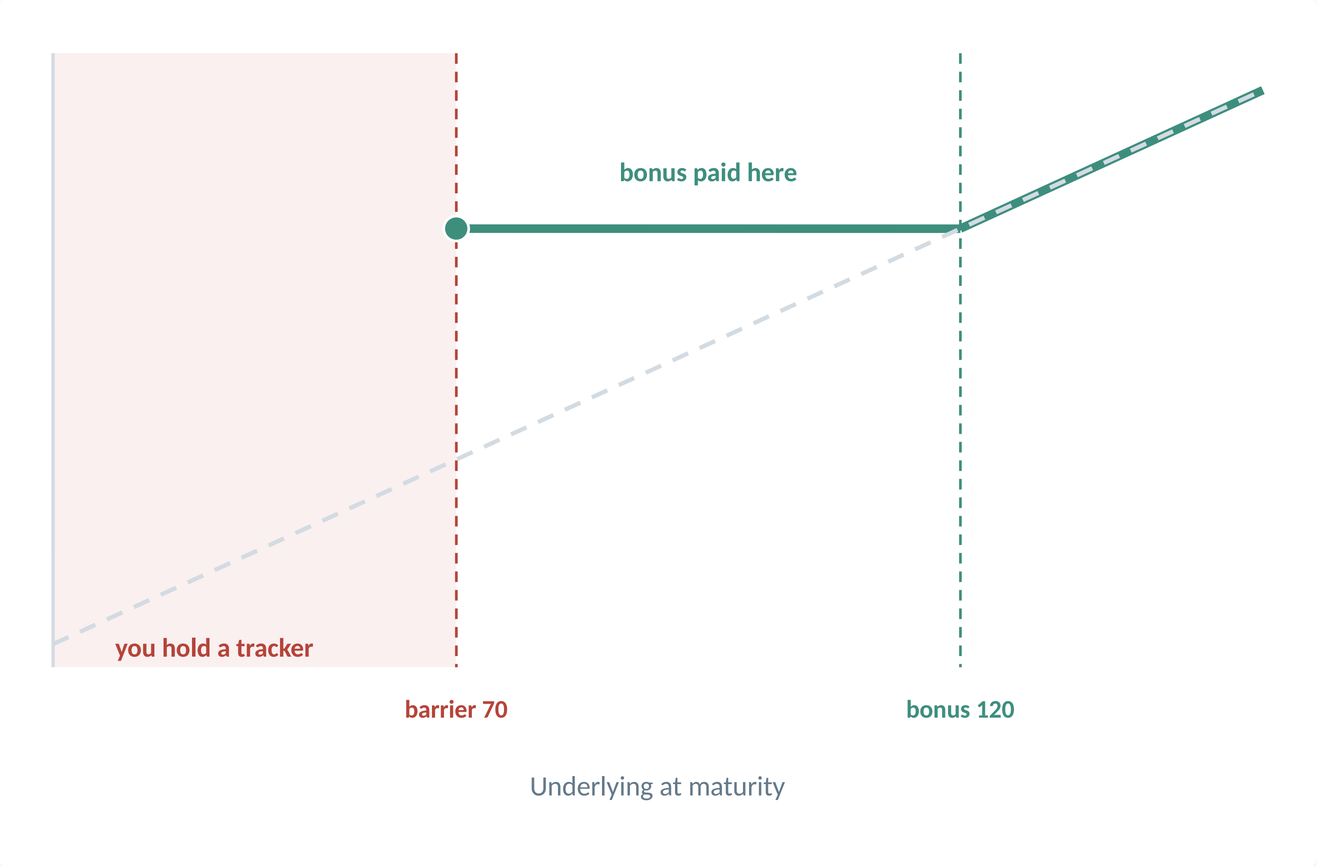
	FX discount certificate	Dual currency investment
Legal form	A security with an ISIN, listable and transferable	A deposit or OTC contract with the bank, not transferable
Return delivery	An up-front discount to the reference rate	An enhanced interest rate on the deposit
Conversion	Redemption in the alternate currency if the pair finishes the wrong side of the cap	Principal converted at the strike if the pair finishes the wrong side
Classification	SSPA 1200, yield enhancement	Not in the SSPA or EUSIPA taxonomy at all
Credit exposure	Unsecured note — issuer credit risk	Bank deposit, which may rank differently in insolvency
Typical tenor	Weeks to about two years	Days to three months

The same short-FX-option trade the treasury desk sells as a dual currency deposit, wrapped so it can be booked and held in a securities account.

Live Swiss examples are small: one listed USD/CHF discount certificate maturing February 2026 had a total issue size of USD 56,000. Treat FX discounts as a bespoke corner, not a volume business.

A floor if the barrier holds, and the upside stays open

Bonus level 120, barrier 70, underlying at 100 on the trade date



Above 120, barrier intact

Full 1:1 participation. The bonus level is irrelevant here — you simply get the underlying. Upside is uncapped.

Between 70 and 120, barrier intact

You receive 120. This is the whole point of the product: a positive return from a flat or moderately falling market.

Barrier touched at any point

The bonus is extinguished permanently and does not revive on a recovery. You now hold a tracker — and a tracker that still pays you no dividends.

Listed European bonus certificates are usually continuously monitored — a single intraday touch is enough. Private-bank notes are usually observed only at the final fixing. Check which one you are looking at.

WHERE THE BONUS COMES FROM

The client pays for it with their own dividends

Long zero-strike call

Tracks the underlying from a strike of zero. It gives the uncapped upside, and the tracker profile after a breach.

Long down-and-out put struck at the bonus level

Its knock-out barrier is the certificate's barrier. If the barrier survives, this put lifts redemption up to the bonus level. If it knocks out, only the zero-strike call is left.

A zero-strike call costs spot minus the present value of dividends, because its holder never receives them. That gap is the entire budget that buys the put.

What follows from that

High-dividend names price better

A bigger dividend stream is a bigger budget, so it buys a higher bonus level, a deeper barrier, or both.

Zero-dividend names barely work

With almost no budget you cannot build a meaningful bonus without adding a cap or a worst-of basket.

Withholding tax bites

The issuer usually cannot price in the full gross dividend, so the budget is smaller than the headline yield suggests.

The bonus is not a gift

It is the client's own dividend stream, repackaged as conditional downside protection.

THE PART CLIENTS MISS

After a breach you are worse off than owning the share

Touch the barrier once and the bonus is gone for good. What you are left holding is a tracker on the underlying that still pays you no dividends — because the issuer already spent them.

It does not matter that the underlying recovers the next day, or that it finishes above the bonus level. The down-and-out put knocked out, and knocked-out means gone.

Permanent, not temporary

There is no recovery mechanism, no memory feature, no second chance. This is the single most common client complaint on the product.

Continuous observation is punishing

On a listed European bonus certificate one intraday print through the barrier is enough. An overnight gap or a flash move does it.

You still do not get the dividends

The zero-strike call never entitled you to them. So post-breach you underperform a direct holding by the full dividend yield, every year, to maturity.

Ask a new joiner what a breached bonus certificate is worth relative to the share. If they say 'the same', they have missed the dividends.

THE VARIANTS

Five ways to change the bonus certificate

Capped bonus

Add a short call at the cap, usually set at the bonus level. Redemption is then exactly the bonus whenever the barrier survives. The premium buys a higher bonus, a deeper barrier, or both.

Reverse bonus

Inverted: the barrier sits above spot and the payoff rises as the underlying falls. Total loss if it finishes at or above the reverse level. A bearish instrument, and priced off borrow rather than dividends.

Bonus pro

The barrier is only monitored over a window ending at maturity, not from day one. Far lower knock-out probability, so weaker headline terms. Beware — issuers also use the name for multi-barrier designs.

Worst-of bonus

Barrier and bonus reference a basket; any one name breaching kills it, and after a breach you track the worst performer. Much cheaper protection, at the usual price in correlation.

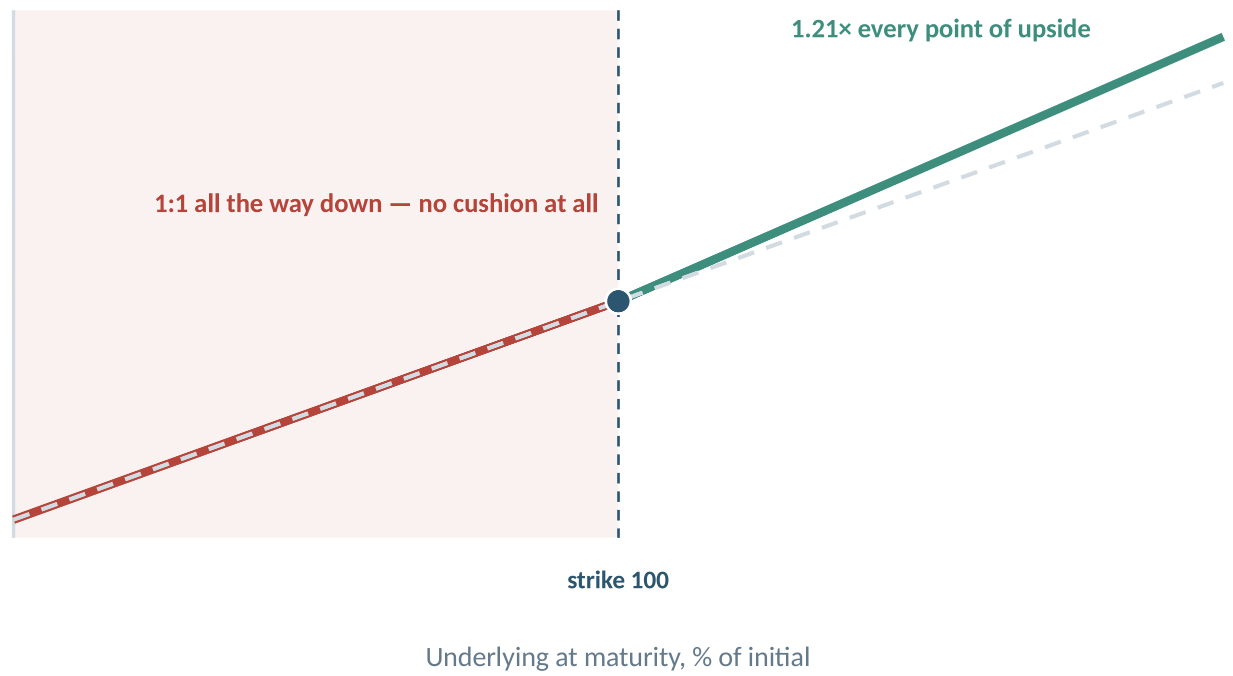
Outperformance bonus · 1330

A bonus floor plus leveraged upside above the strike. You are buying two features from one dividend budget, so both are weaker than the single-feature versions.

Typical listed terms: barrier 15–20% below spot on uncapped structures and 30–50% below on capped ones, bonus level 20–25% above entry, tenor one to three years.

Outperformance: the same budget, aimed upward

Strike 100%, participation 121%, physical settlement below the strike



Above the strike

The client receives the strike plus 1.21 times every point of gain above it. Uncapped.

Below the strike

Physical delivery of the underlying. One-for-one with the fall, exactly like owning the share — but without the dividends.

Where the leverage comes from

The same forgone dividend stream that funds a bonus certificate. Here it buys an extra call struck at the strike instead of a down-and-out put.

A bonus certificate buys a floor with the dividends. An outperformance certificate buys leverage.

THE ASIAN LABEL

Bonus Enhanced Notes: read the term sheet, not the name

Underlyings	Worst-of two or three single names
Tenor	1 to 12 months; six is the norm
Coupon	A flat, non-annualised bonus — 9.18% over six months in the desk's reference structure
Coupon barrier	100% of initial. Every name must be at or above its initial level
Put strike	90% of initial
Knock-out / autocall	None. The note runs to maturity
Upside participation	None. The bonus is the maximum
Settlement	Physical delivery of the worst performer at the 90% strike
Distribution	Private banks in Singapore and Malaysia, at high account minimums

Why this slide exists

The name says bonus. The payoff is yield enhancement — a capped coupon, no participation, and physical delivery below the strike. That is a barrier reverse convertible without the autocall, not a bonus certificate.

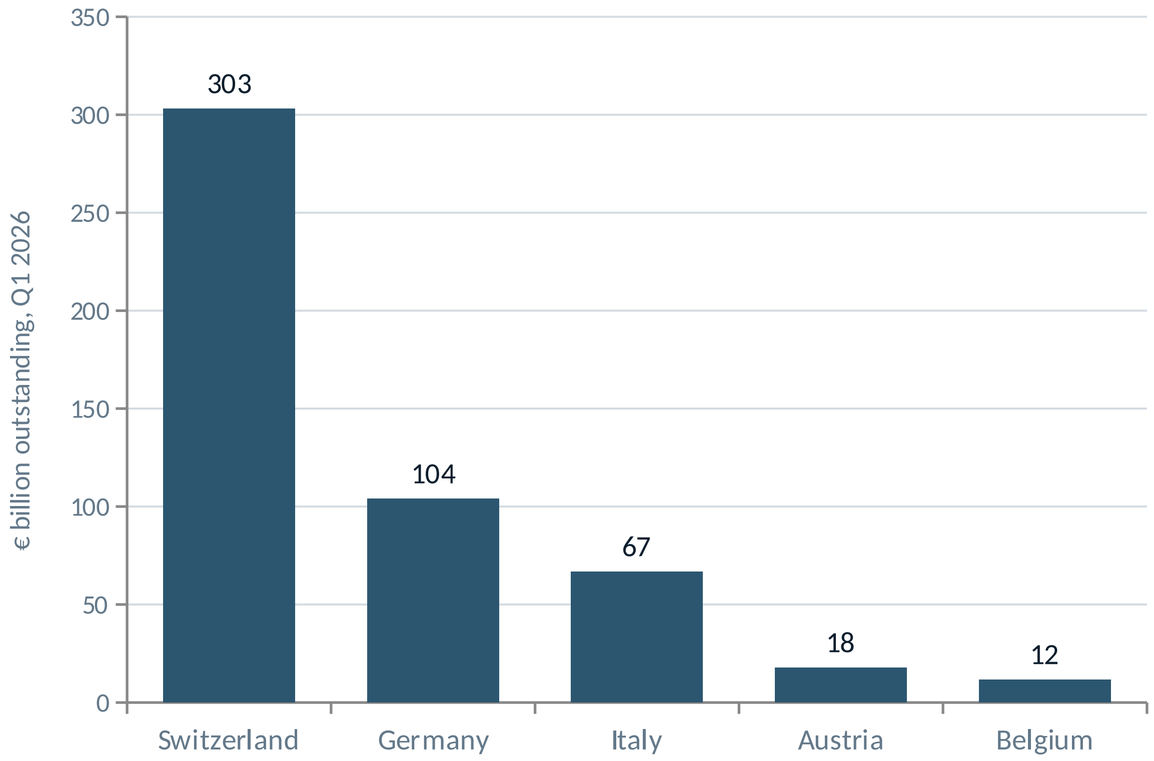
There is no issuer term sheet for a product called a 'Bonus Enhanced Note'. Every published description is a distributor's explainer, and different distributors describe materially different payoffs under the same name — one uncapped and participation-like, one capped like ours.

It appears in no EUSIPA or SSPA taxonomy. If you must map it, ours maps to 1230 — barrier reverse convertible.

Terms as used on this desk. Because the name is not standardised, never assume a counterparty means the same thing by it — get the term sheet.

Relative scale, and why Zurich and Frankfurt are different businesses

European structured investment products by market



- **Switzerland is roughly 60% of European outstandings — but it is mostly OTC private-bank notes, not listed retail paper.**
- Germany is the opposite: an enormous number of listed instruments, dominated by fixed-rate notes and express certificates.
- In the German market, discount certificates are €4.2bn and bonus certificates only €1.2bn — about 4% and 1% of investment products.
- In Switzerland, yield enhancement is half of all turnover, with reverse convertibles at CHF 19bn a quarter against CHF 6bn for discount products.
- **So 'the European structured products market' means something completely different depending on which city you are standing in.**

Sources: EUSIPA Market Report Q1 2026; German BSW market volume at 30 June 2026; SSPA Swiss industry report Q2 2026. Outstanding volume and turnover are different measures — short-dated products understate on the former.

WHAT TO TAKE AWAY

Five things about discount and bonus

1. A discount certificate is a reverse convertible paid up front. Same strike, same maturity, same risk.
2. The cap is the option strike, not a barrier. The cushion is small and certain, not large and conditional.
3. The typical discount certificate is issued in the money. It behaves like credit with an equity tail.
4. A bonus certificate is funded by the client's own forgone dividends — and after a breach they lose those too.
5. A cap moves a product across a family boundary. And 'Bonus Enhanced Note' is a sales label, not a product type.

Next: Deck 5 — capital protected notes and mini futures, the two ends of the risk spectrum.